Fiscal Intelligence: A Python Audit of the ABA Fund for Justice and Education, FY 2022 to 2025

Data Source Disclosure: Public IRS Form 990 filings of the American Bar Association Fund for Justice and Education (EIN 36-6110299), fiscal years ending August 2022 to 2025. This is one ABA affiliate, not the ABA's consolidated financials.

Analyst: Marco A. Ramos Jr., MPA

Framework: PPA 555, Government Budgeting & Finance (analysis refreshed with FY 2023 to 2025 filings)

Executive Summary

The ABA Fund for Justice and Education (FJE) runs close to break-even every year, so its exposure is concentration, not operating deficits. Government grants supplied 91.7% of revenue in FY 2023 and 88.8% in FY 2024, and unrestricted net assets equaled 14.5% and 15.1% of expenses, under the 16.7% (two-month) GFOA benchmark. When revenue fell 13.0% in FY 2025, expenses fell 14.7% and the operating result stayed positive at +$1.47M. This project presents a Python-based (Pandas/NumPy) fiscal audit framework that automates detection of these red flags from the FJE's public Forms 990 for FY 2022 to 2025, screening operating results, reserve capacity, grant concentration, revenue change, and liquidity. The FJE is one affiliate of the American Bar Association (ABA); its figures are not the ABA's consolidated financials.

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Total revenue	$103.28M	$124.61M	$117.70M	$102.36M
Total expenses	$101.75M	$124.21M	$118.23M	$100.89M

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Operating result	+$1.53M	+$0.40M	-$0.53M	+$1.47M
Revenue change	n/a	+20.7%	-5.5%	-13.0%
Government grants	n/a	$114.24M	$104.51M	n/a
Grants, % of revenue (limit 50%)	n/a	91.7%	88.8%	n/a
Unrestricted reserves, % of expenses (benchmark 16.7%)	n/a	14.5%	15.1%	n/a
Liquidity: cash + investments / liabilities	n/a	136%	131%	n/a
Net assets, months of expenses	3.8	3.2	3.6	3.9

Key Findings

- **Grant Concentration:** Government grants supplied 91.7% of revenue in FY 2023 and 88.8% in FY 2024, far above the 50% screening limit for reliance on one funding source. Grant revenue fell $9.7M (8.5%), from $114.2M to $104.5M, between those years.
- **Reserve Shortfall:** Unrestricted net assets equaled 14.5% of expenses in FY 2023 and 15.1% in FY 2024, below the GFOA-recommended best practice benchmark of 16.7% (2 months of operating expenses). The gap was $2.7M in FY 2023

and $1.9M in FY 2024. Total net assets, which include donor-restricted funds, covered 3.2 to 3.9 months of expenses across the four years.

- **Revenue Swings, Not Deficits:** Operating results stayed within 1.5% of revenue in every year, with a $0.53M deficit in FY 2024 and surpluses in the other three. Revenue rose 20.7% in FY 2023 and fell 13.0% in FY 2025, and expenses moved the same way (+22.1% and -14.7%). The four-year revenue coefficient of variation is 0.08, below the 0.20 screen; the FY 2025 decline is flagged by the 10% year-over-year drop screen instead.
- **Liquidity Dynamics:** Cash and investments covered total liabilities 1.36 times in FY 2023 and 1.31 times in FY 2024, adequate for short-term obligations but lower in FY 2024. Liabilities fell from 34.8% of assets in FY 2022 to 23.2% in FY 2025.

Technical Methodology & Benchmarks

The automated audit engine screens each fiscal year on five parameters: (1) Operating Result, revenue minus total expenses, flagged when negative; (2) Reserve Capacity, unrestricted net assets as a percent of expenses, anchored to the Government Finance Officers Association (GFOA) recommendation of maintaining at least two months (16.7%) of operating expenses; (3) Grant Concentration, government grants as a share of revenue, flagged above 50%; (4) Revenue Change, flagged when revenue falls more than 10% year over year, alongside the Coefficient of Variation (CV = population standard deviation / mean) with a screening threshold of CV > 0.20; and (5) Liquidity Coverage, cash plus investments divided by total liabilities, reported against a 100% minimum. All thresholds are analyst-set screening parameters defined at the top of the script, before any metric is computed.

Methodological Limitations

This analysis uses public Form 990 data for one ABA affiliate, the Fund for Justice and Education (EIN 36-6110299), not the ABA's consolidated audited statements. The ABA's consolidated FY 2024 operating revenue was $221.7M, so these results should not be read as the ABA's overall finances. Totals for all four years come from ProPublica Nonprofit Explorer. Government grants, cash, investments, and unrestricted net assets come from Impala's presentation of the same IRS filings and are available for FY 2023 and FY 2024 only, so the grant, reserve, and liquidity screens cover two years; the $9.7M grant decline matches the ABA Journal's FY 2024 treasurer's report. The government grants line does not identify individual programs. Unrestricted net assets are a proxy for reserves and are not necessarily available as cash. With four observations the revenue CV depends on the method (0.08 using the population standard deviation, 0.10 using the sample), and neither reaches 0.20. The GFOA

benchmark is written for general-fund governments, so applying it to a nonprofit is an analogy. The analysis does not forecast and does not explain the causes of the FY 2025 revenue decline. Alert thresholds reflect analyst-set screening parameters rather than universal statutory limits.

Audit Script Engine (Python Code)

Python

```python
import pandas as pd
import numpy as np

# 1. Source data: ABA Fund for Justice and Education (EIN 36-6110299), IRS Form 990,
#    fiscal years ending Aug. 31. Line-item detail is available for FY2023-FY2024 only.
data = {
    'Fiscal_Year': [2022, 2023, 2024, 2025],
    'Total_Revenue': [103281938, 124607300, 117698507, 102362062],
    'Total_Expenses': [101751410, 124208879, 118229012, 100893315],
    'Total_Assets': [49347833, 47427488, 51330410, 42375983],
    'Total_Liabilities': [17157745, 14014979, 15956160, 9837985],
    'Net_Assets': [32190088, 33412509, 35374250, 32537998],
    'Government_Grants': [None, 114242128, 104508280, None],
    'Cash': [None, 1121094, 823356, None],
    'Investments': [None, 17937819, 20015237, None],
    'Unrestricted_Net_Assets': [None, 17964761, 17851020, None]
}
df = pd.DataFrame(data)

# 2. Alert parameters (set before running the analysis)
RESERVE_FLOOR_PCT = 100 * 2 / 12  # GFOA benchmark: two months of operating expenses (16.7%)
CONCENTRATION_MAX = 0.50          # one funding source above half of revenue
REVENUE_DROP_MAX = -0.10          # year-over-year revenue decline worse than 10%
CV_THRESHOLD = 0.20               # revenue volatility screen

# 3. Algorithmic fiscal metrics
df['Operating_Result'] = df['Total_Revenue'] - df['Total_Expenses']
df['Revenue_Change'] = df['Total_Revenue'].pct_change()
```

```
df['Net_Assets_Months'] = df['Net_Assets'] / df['Total_Expenses'] * 12
df['Liabilities_to_Assets'] = df['Total_Liabilities'] / df['Total_Assets']
df['Grant_Share'] = df['Government_Grants'] / df['Total_Revenue']
df['Reserve_Pct'] = df['Unrestricted_Net_Assets'] / df['Total_Expenses'] * 100
df['Reserve_Gap'] = (df['Unrestricted_Net_Assets']
                     - df['Total_Expenses'] * RESERVE_FLOOR_PCT / 100)
df['Liquidity_Ratio'] = (df['Cash'] + df['Investments']) / df['Total_Liabilities']

# Volatility coefficient (CV = population std dev / mean, 4 observations)
revenue = df['Total_Revenue'].to_numpy()
volatility_coeff = np.std(revenue) / np.mean(revenue)

def usd(x):
    return f"-${abs(x):,.0f}" if x < 0 else f"${x:,.0f}"

def fy(year):
    return f"FY{str(year)[2:]}"

# 4. Output findings (NaN comparisons are False, so years without detail are skipped)
alerts = []
rows = list(df.itertuples())
hits = [f"{fy(r.Fiscal_Year)} ({usd(r.Operating_Result)})"
        for r in rows if r.Operating_Result < 0]
if hits:
    alerts.append("OPERATING DEFICIT: " + ", ".join(hits))
hits = [f"{fy(r.Fiscal_Year)} {r.Reserve_Pct:.1f}% ({usd(r.Reserve_Gap)})"
        for r in rows if r.Reserve_Pct < RESERVE_FLOOR_PCT]
if hits:
    alerts.append(f"RESERVE SHORTFALL: unrestricted net assets below {RESERVE_FLOOR_PCT:.1f}% "
                  "of expenses: " + ", ".join(hits))
hits = [f"{fy(r.Fiscal_Year)} {r.Grant_Share:.1%}"
        for r in rows if r.Grant_Share > CONCENTRATION_MAX]
if hits:
    alerts.append(f"GRANT CONCENTRATION: government grants above {CONCENTRATION_MAX:.0%} "
```

```
                  "of revenue: " + ", ".join(hits))
hits = [f"{fy(r.Fiscal_Year)} {r.Revenue_Change:.1%}"
        for r in rows if r.Revenue_Change < REVENUE_DROP_MAX]
if hits:
    alerts.append(f"REVENUE DROP: year-over-year decline beyond {-REVENUE_DROP_MAX:.0%}: "
                  + ", ".join(hits))
if volatility_coeff > CV_THRESHOLD:
    alerts.append(f"REVENUE VOLATILITY: coefficient of variation = {volatility_coeff:.2f}")

print("=== FISCAL RED FLAG AUTOMATED DETECTION ===")
for number, alert in enumerate(alerts, 1):
    print(f"{number}. {alert}")

liquidity = " | ".join(f"{fy(r.Fiscal_Year)}: {r.Liquidity_Ratio:.0%}"
                       for r in rows if pd.notna(r.Liquidity_Ratio))
print(f"\nLiquidity (cash + investments / liabilities): {liquidity}")
print(f"Revenue volatility screen: CV = {volatility_coeff:.2f} (threshold {CV_THRESHOLD:.2f})")
```

Audit Engine Console Output

```
None
=== FISCAL RED FLAG AUTOMATED DETECTION ===
1. OPERATING DEFICIT: FY24 (-$530,505)
2. RESERVE SHORTFALL: unrestricted net assets below 16.7% of expenses: FY23 14.5% (-$2,736,719), FY24 15.1%
(-$1,853,815)
3. GRANT CONCENTRATION: government grants above 50% of revenue: FY23 91.7%, FY24 88.8%
4. REVENUE DROP: year-over-year decline beyond 10%: FY25 -13.0%

Liquidity (cash + investments / liabilities): FY23: 136% | FY24: 131%
Revenue volatility screen: CV = 0.08 (threshold 0.20)
```

Technical Appendix

Sources: ProPublica Nonprofit Explorer, American Bar Association Fund for Justice and Education (projects.propublica.org/nonprofits/organizations/366110299); Impala profile 36-6110299, balance sheet and income statement (impala.digital/public/profiles/36-6110299); ABA Journal, ABA Finances, FY 2024 treasurer's report (abajournal.com/magazine/article/aba-treasurers-report-fiscal-year-2024).

To view the live Python engine and raw data processing for this audit, click the link below to access the hosted development environment:

Open the Live Audit Notebook (Google Colab)